AUDIT ACT, 2075 (2019)

Act No. 36 of the year 2075

(Unofficial Translation)

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An Act Made to Provide for Audit

Preamble: Whereas, it is expedient to make the law relating to audit timely;

Now, therefore, the Federal Parliament has enacted this Act.

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1. Short title and commencement:–

(1) This Act may be called the "Audit Act, 2075".

(2) This Act shall come into force immediately.

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,-

(a) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

(b) "Corporate body wholly owned by the Nepal Government, Provincial Government or Local Level" means a corporate body of which all the shares or assets are owned by the Nepal Government, Provincial Government or Local Level, or a corporate body of which all the shares or assets are owned by such a corporate body, or by such a corporate body and the Nepal Government, Provincial Government or Local Level, and this term also includes a corporate body for which the Nepal Government, Provincial Government or Local Level has to bear full liability.

(c) "Accounts" means the records, ledgers, books or other documents maintained in accordance with law so as to show the details of financial transactions, and this term also includes records maintained through electronic means and electronic records substantiating transactions.

(d) "Audit" means the examination of the accounts and the accounts-related functions of the bodies referred to in Section 3 and the evaluation and analysis made on the basis thereof, and this term also includes the act of follow-up audit.

(e) "Accounts-related documents" means the documents required for the audit of the bodies referred to in sub-section (1) of Section 3, and this term also includes the strategies, annual or periodic plans, action plans, decisions, agreements or understandings, progress reports, monitoring and evaluation reports of such bodies and other documents related to the work of audit, or details, data or information stored in an electronic system.

(f) "Corporate body" means a corporate body of which more than fifty percent of the shares or assets are owned by the Nepal Government, Provincial Government or Local Level, and this term also includes a body of which more than fifty percent of the shares or assets are owned by a corporate body.

(g) "Government office" means all government offices of the Federation, Province and Local Level, including the Office of the President and the Vice-President, Supreme Court, Federal Parliament, Provincial Assembly, Provincial Government, Office of the Chief of Province, Constitutional Body or its office, court, Office of the Attorney General, Nepali Army, Nepal Police and Armed Police Force, Nepal.

3. Bodies to be audited by the Auditor General:–

(1) The audit of the following bodies shall be carried out by the Auditor General:-

(a) Government offices,

(b) Corporate bodies wholly owned by the Nepal Government, Provincial Government or Local Level,

(c) Institutions or bodies specified by Federal law to be audited by the Auditor General.

(2) The responsible officials of the bodies referred to in sub-section (1) shall submit the accounts of income and expenditure and the financial statements in accordance with the prevailing law and have the final audit thereof carried out by the Auditor General.

4. Method of audit:–

The Auditor General may, by selecting the bodies referred to in sub-section (1) of Section 3 to be audited by him or her or any units thereunder, and by specifying the method, scope and period of audit so as to examine the financial transactions and other activities related thereto either one by one, or by random checks in between, or only a certain percentage thereof, carry out the final audit, set out the facts found therefrom, make analysis and criticism thereof and issue a report, along with an opinion as required, on the financial statements.

5. Audit of financial and various matters:–

(1) The Auditor General may, in addition to the financial audit, carry out on a selective basis the audit of various matters such as information technology, performance, gender, forensic and environment, of the bodies referred to in sub-section (1) of Section 3 to be audited by him or her, having regard to, inter alia, the regularity, economy, efficiency, effectiveness and propriety thereof.

(2) The method, mode, scope, period, examination and reporting of the audit of various matters to be carried out pursuant to sub-section (1) shall be as specified by the Auditor General.

6. Timely audit:–

(1) The Auditor General may, on a selective basis, carry out a timely audit of the bodies referred to in sub-section (1) of Section 3 before the end of the fiscal year or after the completion of a transaction.

(2) The method, mode, scope, period, examination and reporting of the audit to be carried out pursuant to sub-section (1) shall be as specified by the Auditor General.

(3) The Auditor General shall send the report prepared pursuant to sub-section (2) to the concerned body and make it public.

7. Audit of grant and aid:–

(1) The Auditor General may audit any kind of aid and grant received by the Nepal Government, Provincial Government or Local Level under Federal law, and any aid or grant amount provided by the Nepal Government, Provincial Government or Local Level.

(2) The method, mode, scope, period, examination and reporting of the audit to be carried out pursuant to sub-section (1) shall be as specified by the Auditor General.

8. Matters to be audited:–

The Auditor General shall, having regard to, inter alia, the regularity, economy, efficiency, effectiveness and propriety, audit the following matters, as required:-

(a) Whether or not the amounts approved under the specified heads and sub-heads for expenditure on services and functions pursuant to the Appropriation Act and other Acts have been spent for the specified purpose within the limit of the same heads and sub-heads,

(b) Whether or not the accounts of transactions have been maintained in the prescribed format and reporting has been made within the specified time,

(c) Whether or not the Constitutional Bodies, Ministries, Departments and central level offices equivalent thereto, and the Provincial Ministries and other Province level offices, have maintained central accounts of all the financial transactions, including appropriation, revenue and deposits, of the offices under them and prepared central statements, and if so prepared, whether or not such statements truly reflect the financial transactions,

(d) Whether or not the accounts of the Federal Consolidated Fund, Provincial Consolidated Fund, Local Consolidated Fund, Federal Contingency Fund, Provincial Contingency Fund and other government funds are accurate,

(e) Whether or not the concerned government body has released the budget in time,

(f) Whether or not the financial statements truly and fairly reflect the financial transactions of the period stated therein,

(g) Whether or not the evidence substantiating the items of income or expenditure is sufficient,

(h) Whether or not physical progress has been made according to the accounts or reports,

(i) Whether or not the approval of the officer authorized to incur expenditure has been obtained,

(j) Whether or not the liabilities created have been paid in time,

(k) Whether or not the available resources, means and assets, including cash and kind, have been properly utilized,

(l) Whether or not records of government property have been maintained in accordance with the prevailing law,

(m) Whether or not government property has been properly protected and maintained so as to prevent loss and damage thereto,

(n) Whether or not the arrangement for maintaining accounts of government loans and investments and of the principal, interest, dividends etc. receivable therefrom or payable and paid thereon is adequate, or whether or not accounts have been maintained accordingly, and whether or not the accounts so maintained are accurate,

(o) Whether or not adequate legal provisions exist to prevent misuse in incurring expenditure, whether or not the related regulation and control arrangements are adequate, and whether or not these matters have been complied with,

(p) Whether or not an effective internal control system exists, and whether or not it has been complied with,

(q) Whether or not internal audit has been carried out in a satisfactory manner, and if so, whether or not its report has been implemented,

(r) Whether or not the amounts to be credited to revenue and government funds have been assessed, collected, deposited and accounted for in accordance with law, and whether or not efforts have been made to control revenue leakage,

(s) Whether or not the prevailing law relating to deposits is adequate, and whether or not it has been complied with,

(t) Whether or not the accounts of income and expenditure of industrial and commercial services, their stock of kind and cash, the arrangements relating to their financial transactions and the law relating thereto are adequate, and whether or not they have been complied with,

(u) Whether or not the organization and management and the division of work of the office are adequate and appropriate, and whether or not the office has been operated and managed accordingly,

(v) Whether or not any work has been unnecessarily duplicated by different employees or bodies, or any work required to be done has been left out, or whether or not there is an effective arrangement for doing, or causing to be done, the work of the office within the specified time,

(w) Whether or not the basis for determining the achievements of the organization and programme is clear, whether or not progress has been made within the time fixed according to the programme, and whether or not the quality and quantity of work conform to the standards,

(x) Whether or not the objectives and policies of the office are clear, whether or not plans, budgets and programmes have been formulated in line with the specified

objectives and policies, and whether or not they have been implemented accordingly,

(y) Whether or not programmes have been operated within the limit of the approved cost, whether or not expenditure has been incurred in a proper manner after analysing cost and achievement, and whether or not returns have been obtained in proportion to the cost,

(z) Whether or not the arrangement for maintaining records of targets, progress and costs is adequate and reliable,

(aa) Whether or not monitoring has been carried out as required by the prevailing law, and whether or not the reports obtained from monitoring have been implemented,

(bb) Whether or not efforts have been made to make the financial transactions, records and reporting system based on information technology,

(cc) Whether or not the use and mobilization of the revenue, grants and royalties distributed among the Nepal Government, Provincial Government and Local Level in accordance with the prevailing law have been effective,

(dd) Whether or not reimbursement has been obtained in time,

(ee) Whether or not the records of the irregularities (beruju) and their settlement have been kept up to date, and whether or not efforts have been made to settle the irregularities.

9. Matters to be examined by the Auditor General from the viewpoint of propriety:–

(1) The Auditor General shall, as required, examine the following matters from the viewpoint of propriety:-

(a) If it appears that any expenditure, even though made in accordance with the authorization, has been made in an improper manner or in a manner causing loss and damage to national property, with respect to such expenditure and authorization,

(b) With respect to all authorizations issued for the grant of movable or immovable national property, or the assignment of revenue, or in a manner to forgo revenue or movable or immovable national property by way of lease, permit, licence, rights or any other means in relation to the provision of facilities of mines, forests, water resources etc.,

(c) With respect to the subject-matters of various financial transactions, including contracts and agreements relating to public works, repair and maintenance, procurement and supply and consultancy services, service delivery, public expenditure and revenue mobilization.

(2) The Auditor General may, if he or she deems appropriate, examine in accordance with the generally accepted principles of auditing whether or not any official within his or her jurisdiction has discharged financial accountability.

(3) The Auditor General may not include in his or her report the ordinary items of irregularities or other items that do not appear notable and important from the viewpoint of propriety.

10. Audit of corporate bodies wholly owned by the Nepal Government, Provincial Government or Local Level:–

(1) Notwithstanding anything contained in clause (b) of sub-section (1) of Section 3, the Auditor General may, as required, appoint auditors holding a certificate under the prevailing law as assistants for the audit of corporate bodies wholly owned by the Nepal Government, Provincial Government or Local Level.

(2) The auditors appointed pursuant to sub-section (1) shall work under the direction, control and supervision of the Auditor General.

(3) The functions, duties and powers, conditions of service and liabilities of the auditors appointed pursuant to sub-section (1), the procedure to be followed by them in carrying out the audit and the provisions relating to the submission of reports shall be as provided in this Act in respect of the matters mentioned in this Act, and as specified by the Auditor General in respect of the matters not mentioned in this Act.

(4) The remuneration to be received by the auditor appointed pursuant to sub-section (1) from the concerned institution shall be as specified by the Auditor General, having regard to, inter alia, the financial transactions, the state of accounts, the number of branches and sub-branches, the workload and the work progress of such institution.

11. Audit of corporate bodies:–

(1) A corporate body may appoint an auditor and have its audit carried out subject to the principles specified by the Auditor General.

(2) While appointing an auditor pursuant to sub-section (1), the corporate body shall consult the Auditor General.

(3) The concerned corporate body shall also send a copy of the report submitted by the auditor appointed pursuant to sub-section (1) to the Office of the Auditor General.

(4) If any error appears in the accounts of such a corporate body from the report received pursuant to sub-section (3), the Auditor General may give necessary directions to the concerned corporate body and the auditor in respect of such error, and it shall be the duty of the concerned corporate body and the auditor to comply with such directions.

(5) The concerned corporate body shall submit the progress details of implementation in respect of the matters pointed out in the report received pursuant to sub-section (3) or the directions given pursuant to sub-section (4) within the period specified by the Auditor General.

12. Auditor General may examine or cause documents to be submitted:–

(1) The Auditor General may, at any time, require the responsible official of a body referred to in sub-section (1) of Section 3 to submit the accounts-related documents, and obtain related information and particulars from the concerned official.

(2) The Auditor General may, if he or she deems necessary, do the following:-

(a) Examine, at any time, the status and the accounts-related documents of the programmes and projects operated with grants received from the Nepal Government, Provincial Government or Local Level,

(b) Require construction entrepreneurs or suppliers taking contracts for government work, or institutions or persons taking charge of the work of such bodies, to submit documents related to such contract, supply or other government work and, in the context of the audit of revenue, additional evidence and documents related to the basis taken for the purpose of revenue assessment,

(c) Require institutions partly owned by the Nepal Government, Provincial Government or Local Level and national and international non-governmental organizations to submit documents relating to their operation.

(3) The Auditor General shall have access to the information technology systems adopted by the bodies referred to in sub-section (1) of Section 3 for carrying out transactions, maintaining accounts, managing records or disseminating information.

13. Power to charge fees:–

(1) The Auditor General may charge the prescribed fee from a corporate body wholly owned by the Nepal Government, Provincial Government or Local Level for auditing such body.

(2) The fees charged pursuant to sub-section (1) shall be deposited into the Federal Consolidated Fund.

14. Review of audit:–

(1) The Auditor General may periodically arrange for quality assurance review or professional peer review in order to ensure the quality of the audit work completed under this Act.

(2) Except for the review to be carried out pursuant to sub-section (1), no audit may be reviewed by any other person or body.

15. Power to obtain expert services:–

(1) The Auditor General may obtain the services of experts in the concerned subject for the work to be performed by him or her.

(2) The Auditor General may request any body of the Nepal Government, Provincial Government or Local Level to depute an expert or official working in such body to assist in any work to be performed by him or her.

(3) If a request is made pursuant to sub-section (2), the concerned body shall depute such expert or official to the work specified by the Auditor General.

(4) The person providing expert services pursuant to sub-section (1), or the expert or official deputed pursuant to sub-section (3), shall be provided with such remuneration or facilities as specified by the Auditor General.

16. Not to be liable for acts done in good faith:–

No employee of the Office of the Auditor General shall be personally liable for any loss or any other kind of error resulting from audit work completed in good faith in the course of performing duties in accordance with the standards, policies, directions, guidelines and audit plans issued by the Auditor General under this Act to systematize audit.

17. Records to be maintained through electronic means:–

The Auditor General may maintain the records of audit files, working papers and other documents and details of the bodies audited by him or her through electronic means.

18. Office of the Auditor General:–

(1) The Auditor General may, as required, establish offices at the Federation and Province for the work to be performed by himself or herself.

(2) The employees deputed to the offices established pursuant to sub-section (1) shall work as directed by the Auditor General.

(3) The organizational structure and staff positions of the Office of the Auditor General shall be as approved by the Nepal Government on the recommendation of the Auditor General.

19. Annual report:–

(1) The Auditor General shall set out the following matters in the annual report to be submitted to the President pursuant to Article 294 of the Constitution:-

(a) Details of the functions performed by the Auditor General during the year,

(b) Summary of the main findings of the audit,

(c) Status of implementation of the audit reports and improvements to be made in the future,

(d) Other necessary matters.

(2) The Auditor General may issue an audit report, along with an opinion, after completing the audit of the bodies referred to in sub-section (1) of Section 3.

(3) In addition to what is mentioned in sub-section (2), the Auditor General may also issue reports of the performance, information technology, forensic, gender, environmental and timely audits of the bodies referred to in sub-section (1) of Section 3.

(4) The Auditor General may prepare a separate annual report on the functions of each Province and submit it to the concerned Chief of Province.

(5) The report submitted pursuant to sub-section (4) shall be laid before the Provincial Assembly through the Chief Minister.

(6) If it appears that great loss and damage has been caused to any movable or immovable national property, or that such loss and damage may occur if action is not taken immediately, the Auditor General may audit such transaction at any time and submit a report to the President or the Chief of Province.

(7) The Auditor General shall make public the reports submitted under this Section.

20. Audit of Local Level:–

(1) Each Rural Municipality and Municipality shall have its audit carried out by the Auditor General.

(2) The Auditor General may issue a separate audit report after completing the audit of each Rural Municipality and Municipality.

(3) The concerned Rural Municipality or Municipality shall table the report issued by the Auditor General pursuant to sub-section (2) in the Village Assembly or Municipal Assembly in accordance with the prevailing law relating to the Local Level and have it discussed.

21. Implementation of audit report:–

(1) It shall be the duty of the concerned responsible official to implement the report issued by the Auditor General under this Act.

(2) The Auditor General may, in order to ensure whether or not the matters mentioned in the report issued by him or her under this Act have been improved and whether or not the suggestions have been implemented, do acts including obtaining reports of the action taken by the audited bodies, obtaining replies, specifying the time limit for implementation, re-examining and giving necessary directions to the concerned body in that respect.

22. Action on irregularities:–

The concerned body shall take action in accordance with law on the errors and irregularities found in the audit of the income and expenditure and other amounts of the Nepal Government, Provincial Government or Local Level.

23. Format of accounts:–

(1) The accounts of the transactions of government offices shall be maintained in the format approved by the Auditor General.

(2) It shall be the duty of the Financial Comptroller General Office to have the format referred to in sub-section (1) approved and to implement it or cause it to be implemented.

24. Auditor General may give directions:–

(1) The Auditor General may, subject to the Constitution and this Act, give directions to the concerned body from time to time to arrange the accounting system or bring regularity thereto.

(2) The Auditor General may, subject to the Constitution and this Act, give directions from time to time to the concerned regulatory body in respect of the arrangements relating to audit.

(3) The Auditor General may give directions from time to time to the auditors appointed by him or her under this Act to audit government offices and corporate bodies on the matters to be audited, the matters to be included in the report and the matters mentioned in the report.

(4) It shall be the duty of such office and the concerned official to comply with the directions given by the Auditor General under this Section.

25. Power to write for action:–

(1) The Auditor General may write to the concerned body to take action in accordance with the prevailing law, including departmental action, against the official or person entrusted with the responsibility of the related work who does not have the audit carried out under this Act, does not make available the financial statements and accounts to the auditor appointed pursuant to Sections 10 and 11, does not submit the accounts-related documents pursuant to Section 12, does not provide the related information and particulars, does not maintain accounts in the format referred to in Section 23, obstructs or resists the audit-related work, or violates this Act or the Rules framed under this Act.

(2) If written to pursuant to sub-section (1), the concerned body shall take action against such official or person as soon as possible and inform the Office of the Auditor General thereof.

26. Power to give rewards:–

(1) The Auditor General may, each year, select the employees who have performed excellent work from amongst the employees working in the Federal and Provincial offices of the Auditor General and give them rewards as prescribed.

(2) The procedure for selecting the employees who have performed excellent work for the purpose of sub-section (1) shall be as specified by the Auditor General.

27. Power to delegate authority:–

The Auditor General may delegate the authority to perform any of the functions to be performed by him or her under this Act to the officials of his or her office.

28. Power to frame Rules:–

The Auditor General may, in consultation with the Nepal Government, frame necessary Rules for the implementation of this Act, and such Rules shall come into force from the date of their publication in the Nepal Gazette.

29. Power to issue standards or guidelines:–

The Auditor General may, subject to this Act and the Rules framed under this Act, make and enforce auditing standards or guidelines based on international auditing standards and prevailing good practices in order to make audit objective, credible and reliable and to enhance the quality of audit.

30. Repeal and saving:–

(1) The Audit Act, 2048 is hereby repealed.

(2) The acts done and actions taken under the Audit Act, 2048 shall be deemed to have been done and taken under this Act.

(3) The audit of the accounts remaining to be audited under the Audit Act, 2048 at the time of commencement of this Act shall be carried out under this Act.